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Korea: From Industrialization to Internationalization

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Executive Summary

Korea sits at the intersection of some of the most important structural forces reshaping the global economy. Re-industrialization, AI infrastructure investment and supply-chain diversification are directing capital toward industries where Korea already possesses scale, technological leadership and established industrial ecosystems. At the same time, policymakers are reinforcing these advantages by supporting strategic industries and expanding Korea's industrial footprint globally.

Yet a paradox remains. Korea's economic influence has expanded much faster than its financial influence. Despite accounting for roughly 2% of global GDP and playing a central role in several strategic industries, the Won remains only a modestly used international currency and Korean assets continue to trade at valuation discounts. Korea's internationalization agenda seeks to narrow this gap, building a financial system that better reflects the country's growing importance in global trade, manufacturing and technology.

In this report, we argue that:

— **The world is increasingly investing in industries where Korea already leads,** as re-industrialization, AI investment and supply-chain diversification redirect capital toward Korea's areas of strength.

— **Korea already possesses what others are trying to build,** with its strengths in manufacturing, technology, innovation and competitiveness.

— **Internationalization is the next stage of development,** helping Korea retain and intermediate a larger share of the wealth it creates.

— **Korea is pursuing a distinct and phased model of internationalization,** combining market-access reforms, greater offshore usability and gradual liberalization while preserving financial stability.

— **The key market implication is a gradual narrowing of the gap between Korea's economic footprint and financial footprint,** as stronger industrial performance increasingly translates into deeper capital markets, a more internationally used currency and stronger demand for Korean assets.

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The world is investing in the industries where Korea already leads

Industrial policy has returned to the centre of global economic strategy. Across the US, Europe, Japan, China and much of Asia, governments are deploying subsidies, tax incentives, localisation requirements and strategic investment programmes to strengthen domestic manufacturing, secure access to critical technologies and reduce supply-chain vulnerabilities. While the policies differ across jurisdictions, the direction of travel is increasingly aligned - resilience, technological leadership and economic security now rank alongside efficiency as core policy objectives.

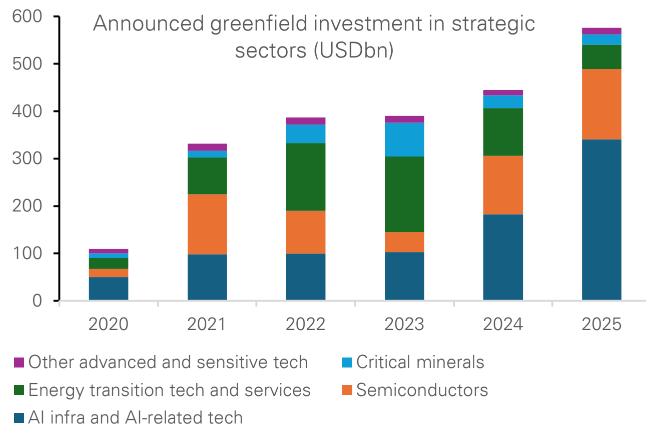
Figure 1: Industrial policy comparison — At-a-Glance

	Policy direction	Strategic sectors	Main objective	Incentive model
Advanced economies				
US	Reshore critical technology production	Chips; EVs/batteries; clean energy; defence; critical minerals	Secure strategic supply chains with trusted partners	Subsidies, tax credits, grants, loans, export controls
EU	Make decarbonisation an industrial growth engine	Net-zero industry; clean tech; heavy industry; raw materials	Build competitive clean industry while protecting competitiveness	State-aid flexibility, EU funding, carbon rules, faster permits
Japan	Strengthen economic security and low-carbon industry	Chips; batteries/EVs; defence; aerospace; nuclear/clean energy	Secure advanced inputs and reinforce defence/energy resilience	Targeted subsidies, tax breaks, procurement, energy investment
North Asia				
China	Pursue self-sufficiency and technology leadership	Chips; EVs/batteries; shipbuilding; green tech; critical minerals	Reduce external vulnerability while preserving export strength	Subsidies, cheap credit, tax relief, procurement, export controls
Korea	Scale national champions in strategic technologies	Memory chips; AI; EV batteries; autos; shipbuilding; defence; nuclear	Hold top-tier chip position and diversify growth engines	Mega capex funds, policy credit, tax credits, R&D and talent programmes
Taiwan	Extend semiconductor leadership into AI hardware	IC design/manufacturing; AI servers; smart manufacturing; digital sectors	Use AI + chips to deepen the innovation ecosystem	R&D credits, shared labs, pilot lines, talent/startup support
South Asia				
India	Scale manufacturing and domestic value-add	PLI sectors; electronics; autos/EVs; chips; pharma; capital goods	Become a high-value manufacturing and export hub	Output-linked incentives, sector schemes, infrastructure/logistics funding
Indonesia	Move nickel downstream into EV value chains	Nickel; battery materials; cells; EV assembly; clean-energy metals	Shift from raw materials to integrated battery/EV production	Export bans, smelter controls, industrial parks, state-firm ecosystems
Malaysia	Upgrade from assembly to higher-value manufacturing	E&E; semiconductor back-end; advanced materials; aerospace; pharma	Move up technology and Industry 4.0 capability	Tax incentives, grants, roadmaps, cluster facilitation
Philippines	Revive manufacturing around electronics and components	Electronics packaging; autos; aerospace components; broader manufacturing	Deepen regional supply-chain participation beyond services	SEZ incentives, FDI promotion, sector roadmaps, streamlined approvals
Singapore	Anchor high-value advanced manufacturing	Precision engineering; chips; pharma; robotics; automation; digital manufacturing	Keep high-value production linked to R&D and HQ functions	Grants, co-funding, R&D incentives, skills schemes, bespoke EDB packages
Thailand	Use EEC and S-curves to upgrade industry	EVs; smart electronics; aviation/logistics; robotics; bio/medical industries	Become a regional hub for upgraded manufacturing	SEZ tax breaks, infrastructure, premium sector incentives
Vietnam	Build supporting industries and semiconductor capability	Electronics support; mechanical/autos; textiles/footwear; high-tech; chips	Raise localisation and integrate deeper into global supply chains	Cost-sharing subsidies for R&D, technology and workforce spending

Source : Deutsche Bank Research

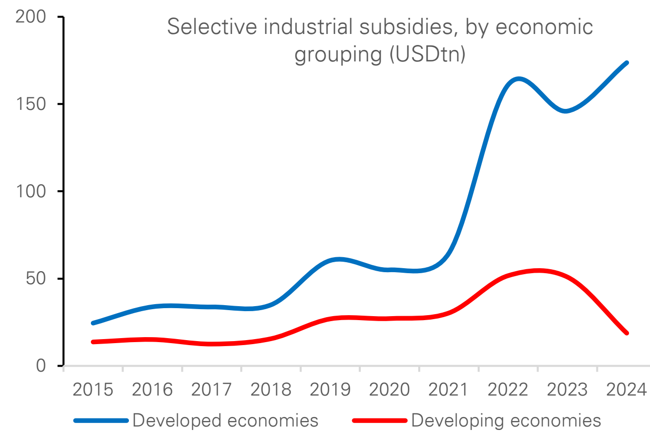
The scale of this shift is already visible in global investment flows. According to UNCTAD, strategic sectors—including semiconductors, clean energy, advanced manufacturing, defence and digital infrastructure—accounted for 44% of global greenfield investment in 2025, up from just 16% in 2020. Over the same period, the value of announced projects rose from $109bn to $576bn, highlighting the growing concentration of capital in strategic industries. This is creating one of the largest industrial investment cycles in decades and directing investment towards precisely the sectors where Korea has already established globally competitive capabilities.

Figure 2: Growing investments in strategic sector globally



Source : Deutsche Bank Research, UN Trade and Development (UNCTAD). Note: Data for 2025 are annualized on the basis of information available as of 30 November.

Figure 3: Increase in the use of subsidies to support growth in the strategic sector



Source : Deutsche Bank Research, UN Trade and Development (UNCTAD), based on New Industrial Policy Observatory (NIPO). Note: Only subsidies worth more than $10mn are recorded in the NIPO database.

Three structural forces are now converging in Korea's favour.

- **Reshoring, ally-shoring and rearmament are increasing global demand for industries in which Korea already holds a competitive advantage.** Semiconductors, shipbuilding, defence equipment, batteries and critical minerals have become central to national-security and supply-chain strategies. Post-Ukraine European rearmament has increased demand for reliable defence suppliers, while the US and its allies are seeking trusted partners to rebuild strategic supply chains. Korea already possesses many of the industrial capabilities that advanced economies are now attempting to reshore or source from aligned partners.
- **The global AI capex supercycle is providing a major terms-of-trade uplift**. Hyperscaler capital expenditure is estimated to be growing at close to 70% YoY through 2024-26, creating strong demand for GPUs, HBM, DRAM and related semiconductor infrastructure. As large language models become increasingly complex and agentic AI requires greater processing power and speed, demand for advanced memory chips is rising sharply. Samsung Electronics and SK Hynix place Korea at the centre of this cycle, positioning the country as one of the most direct beneficiaries of the global AI infrastructure buildout.
- **China de-risking is reshaping supply chains in Korea's favour.** Western buyers are actively reducing reliance on Chinese supply chains across selected strategic sectors, including batteries, battery materials, vessels, robotics and critical minerals. Korea is one of the few economies with both the industrial scale and geopolitical alignment to absorb some of the production, investment and market share being redirected away from China. While Chinese overcapacity remains a competitive challenge in some industries, the global effort to diversify away from China is simultaneously creating opportunities in strategic sectors where technology, reliability and security considerations matter more than cost alone.

This convergence matters. Korea is not benefiting from one isolated export cycle. **Rather, it sits at the intersection of ally-shoring, AI infrastructure investment and China supply-chain diversification—three structural forces that are likely to persist for years.** In many respects, the world is increasingly investing in precisely the industries where Korea already possesses scale, technological leadership and established industrial ecosystems.

Figure 4: Korea ranks among the world's best positioned economies for re-industrialisation

Rankings (1 = Best)													
Metric	US	EU	Japan	China	Korea	Taiwan	Singapore	Malaysia	Indonesia	Thailand	Vietnam	Philippines	India
Manufacturing value added (% of GDP)	13	11	8	3	2	1	9	6	7	5	4	10	12
Share of high-tech exports	11	10	7	8	2	1	3	6	13	9	5	4	12
Current account balance (% of GDP)	13	8	5	6	4	1	2	9	10	7	3	12	11
Government debt (% of GDP)	12	10	13	11	5	2		8	4	7	3	6	9
Gross capital formation (% of GDP)	11	13	6	1	5	7	10	9	3	12	4	8	2
Total surplus capacity (MW)	3	2	5	1	6	10	13	12	7	9	8	11	4
Electricity price (USD/kWh)	8	12	11	4	5	10	13	7	1	6	2	9	3
Business infrastructure	1	7	6	3	5	4	2	8	12	9	10	13	11
Global talent competitiveness index	3	4	5	8	6	2	1	7	12	11	10	9	13
Regulatory quality	2	5	3	11	6	4	1	7	8	9	13	10	12
Trade freedom	12	6	8	9	10	2	1	3	7	11	5	3	13
Broad competitiveness	3	10	9	4	6	2	1	5	13	7	8	12	11
Economic Complexity	6	7	1	5	3	2	4	8	13	9	12	11	10

Source :Deutsche Bank Research, CEIC, Haver Analytics, Insead, World Bank, The Heritage Foundation, IMD.org, Harvard Business School

Policy is also reinforcing these advantages. Rather than creating entirely new industries, Korean policymakers are largely focused on scaling existing strengths, securing critical inputs and supporting the global expansion of Korean industrial ecosystems. Recent initiatives have directed capital toward semiconductors, AI infrastructure, batteries, defence and other strategic sectors through policy financing, investment programs and regulatory support. At the same time, Korea is strengthening access to critical minerals, expanding overseas industrial partnerships and facilitating outward investment by Korean firms. The objective is not simply to support national champions, but to reinforce the broader ecosystem around them and ensure Korea remains embedded in the next phase of global industrial development.

Korea already possesses what others are trying to build

Few economies are better positioned to benefit from the new industrial order than Korea. Unlike many countries attempting to rebuild manufacturing capacity from a relatively low base, Korea already has one of the world's most advanced industrial ecosystems.

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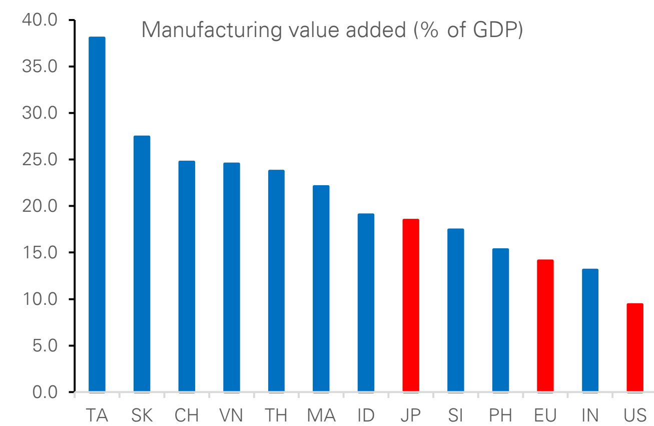
- **Industrial ecosystems matter.** Korea has built globally competitive positions across semiconductors, batteries, shipbuilding, defence, robotics, nuclear energy and advanced manufacturing. These industries are supported by a deep industrial ecosystem spanning engineering talent, R&D capabilities, specialised supplier networks and world-class infrastructure and relatively healthy public and external balances. These capabilities are difficult to replicate quickly and increasingly valuable in a world prioritising resilient and secure supply chains.

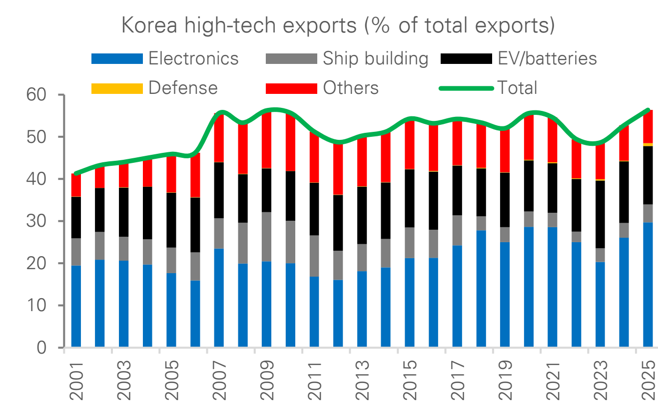
- **Starting from strength matters.** Manufacturing accounts for approximately 24.3% of GDP, among the highest shares in the OECD and roughly two times the level of the advanced economies. At a time when governments are seeking to expand domestic production of strategic goods, Korea enters the re-industrialisation cycle with an existing manufacturing base rather than having to build one from scratch.
- **Technology leadership matters.** Approximately 58% of Korea's exports are high-tech products, one of the highest shares among major economies, while semiconductors account for roughly 50% of high-tech exports. Korea also accounts for ~60% of global memory semiconductor production and 90% of global HBM supply, making it one of the most important beneficiaries of the AI infrastructure cycle.

Figure 5: Manufacturing accounts for approximately 24.3% of GDP, among one of the highest shares in the OECD and roughly two times the level of the advanced economies.



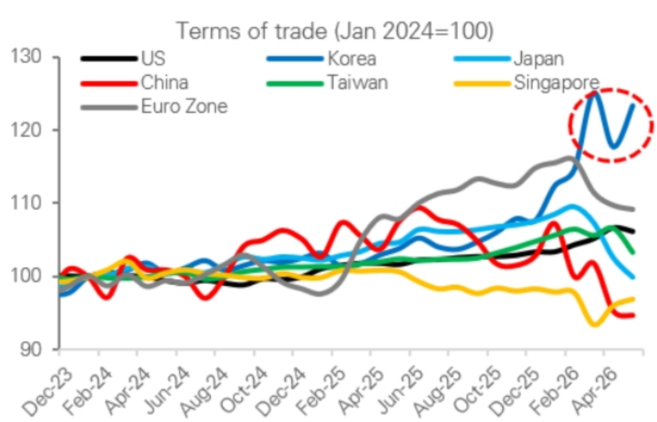
Source : Deutsche Bank Research, Haver Analytics

Figure 6: Korea's export engine increasingly driven by High-Tech industries



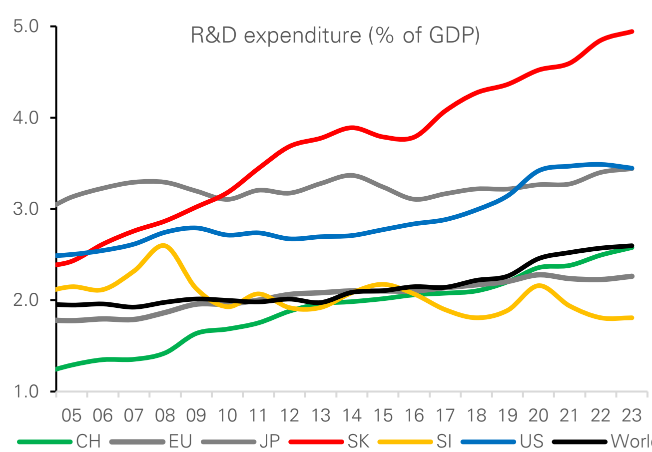
Source :Deutsche Bank Research, ITC

Figure 7: Significant improvement in terms of trade since 2024 for Korea



Source : Deutsche Bank Research, Bloomberg Finance LP, Haver Analytics

Figure 8: Korea has one of the highest R&D expenditures in the world



Source : Deutsche Bank Research, World Bank

- **Strategic industries matter**. Beyond semiconductors, Korea has built globally competitive positions in EV batteries, defence, advanced shipbuilding, robotics and nuclear energy. Korean firms account for ~30% of global EV battery capacity and 90% of global LNG carrier orders, while defence exports are increasingly benefiting from rising global security spending and rearmament efforts.
- **Energy increasingly matters.** Under South Korea's latest electricity plan, nuclear power is expected to account for approximately 35% of electricity generation by 2038, while carbon-free sources are projected to supply roughly 70% of total generation. The plan is designed in part to accommodate rising electricity demand from semiconductors, AI data centres and broader industrial electrification. As manufacturing and digital infrastructure become increasingly energy-intensive, access to reliable, scalable and lower-carbon power is emerging as an important component of industrial competitiveness.

Korea's advantages extend beyond individual industries. Through leadership in semiconductors, batteries, shipbuilding, defence and advanced manufacturing, Korea is becoming an increasingly important industrial partner for both advanced and emerging economies. As supply chains become more closely linked to economic security, reinforcing its role within the evolving architecture of the global economy. Rather than acting solely as an exporter of goods, Korea is increasingly participating in the development and expansion of industrial ecosystems across multiple regions through investment, technology transfer and supply-chain partnerships. In that sense, **Korea's industrial strengths are not only supporting growth and competitiveness at home but are also reinforcing its role within the evolving architecture of the global economy.**

Korea's industrial position remains strong, but its advantages should not be taken for granted. Despite leadership in semiconductors, shipbuilding, defence and advanced manufacturing, Korea remains dependent on imported energy, critical minerals and raw materials, leaving parts of its industrial ecosystem exposed to commodity and supply-chain shocks. Competition is also intensifying. China continues to move up the value chain across batteries, shipbuilding, robotics and segments of the semiconductor supply chain, while governments globally are deploying increasingly aggressive industrial policies to build domestic capabilities. Industrial leadership is rarely permanent. **Korea's re-industrialisation story therefore depends not only on existing strengths, but also on its ability to sustain innovation, secure critical inputs and preserve its technological edge over the coming decade.**

Internationalization as the next stage of development

Korea scores strongly on measures of industrial depth, export sophistication and external strength. Manufacturing value added, high-tech exports and current-account balances compare favourably with most regional peers. Yet Korea remains among the cheapest major Asian markets on P/E and P/B metrics, while the Won screens as undervalued on our valuation framework.

Figure 9: Korea’s valuation paradox: strong fundamentals, cheap assets

	Economic Matrix			Financial Market Matrix				
	Manufacturing value added (% of GDP)	Share of high-tech exports (%)	Current account bal (% of GDP)	12M forward P/E ratio	ROE (%)	12M forward P/B ratio	Dividend yield	FX valuation
US	9	28	-4	21.3	20.0	4.6	1.2	5.7
EU	14	31	2	15.8	12.6	2.2	3.1	-1.6
Japan	18	40	5	22.4	12.0	2.7	1.5	-24.7
China	25	35	4	14.9	9.9	1.6	2.6	-5.3
Korea	27	59	7	6.9	10.5	1.5	1.9	-15.0
Taiwan	38	78	17	20.3	13.9	4.0	2.1	-5.3
Singapore	17	55	17	17.2	9.9	1.8	4.1	4.9
Malaysia	22	48	2	15.1	10.6	1.5	4.3	1.8
Indonesia	19	9	0	10.0	11.8	1.3	6.3	-7.8
Thailand	24	31	3	16.1	8.6	1.6	3.6	7.5
Vietnam	25	48	7	12.0	15.1	1.7	1.9	
Philippines	15	53	-3	9.9	11.6	1.2	3.7	2.9
India	13	23	-1	19.9	14.2	2.6	1.8	-6.6

Note: FX valuation is based on the simple average of three valuation models: FEER, DBEER, and PPP. Positive (negative) values indicate overvaluation (undervaluation).

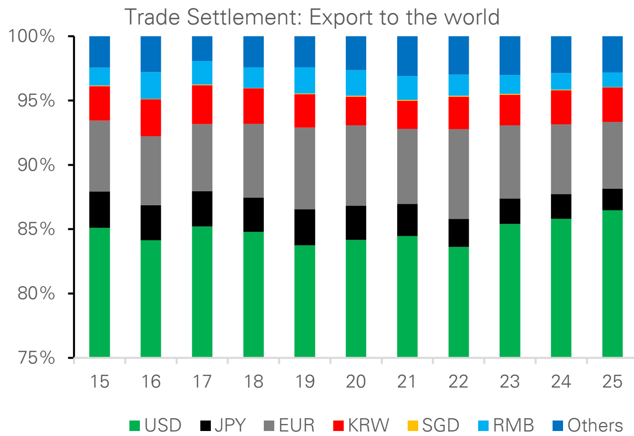
Source :Deutsche Bank Research, CEIC, Haver Analystics, Bloomberg Finance LP. Note: FX valuation is based on the simple average of three valuation models: FEER, DBEER, and PPP. Positive (negative) values indicate overvaluation (undervaluation).

Our preferred valuation framework suggests the Won remains materially undervalued relative to fundamentals. Korea's current account surplus could reach ~10.3% of GDP this year and remain above 5% over the medium term, well above its long-run average of around 3.5% of GDP. Under a FEER framework, which anchors exchange rates to external-balance sustainability, such an external position is inconsistent with current KRW levels and **implies that the Won is undervalued by ~ 10% in trade-weighted terms.**

More importantly, this result may prove conservative. Korea's current account improvement increasingly reflects a positive terms-of-trade shock driven by AI-related semiconductor demand, rising export sophistication and stronger pricing power. As a result, Korea's industrial renaissance may not only justify larger external surpluses, but also a higher equilibrium valuation for the Won.

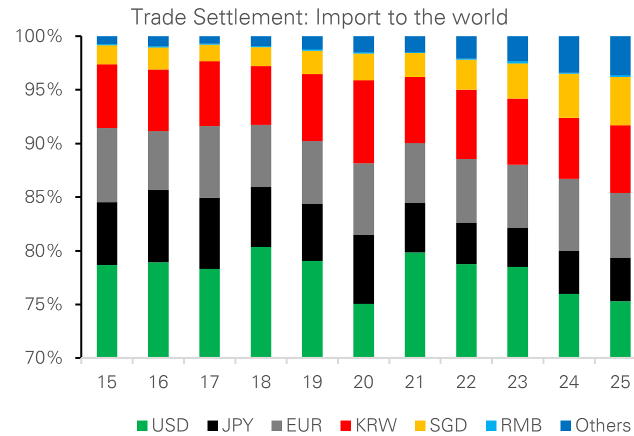
Besides asset valuation discounts, Korea's growing economic importance is not reflected in its financial system and currency yet. Today, Korea accounts for roughly 2% of global GDP, ranks among the world's largest exporters of advanced manufactured goods and is home to several globally strategic industries. Won accounts for approximately 0.9% of global FX turnover, which puts it at around 12th rank; while its role in international payments, funding markets and reserve holdings remains considerably smaller than Korea's relative economic quantum.

Figure 10: Korea's exports are still overwhelmingly settled in foreign currencies



Source : Deutsche Bank Research, Haver Analytics

Figure 11: The won plays only a limited role in Korea's import settlement

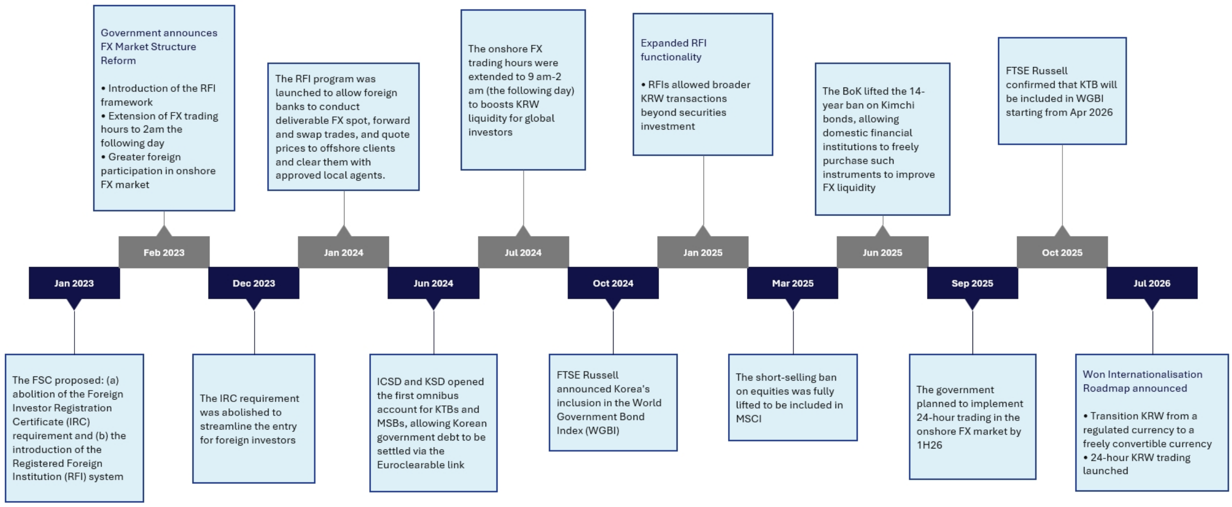


Source : Deutsche Bank Research, Haver Analytics

This gap between economic importance and financial influence helps explain the government's newly announced roadmap for Won internationalization. The objective is not to transform the Won into an alternative reserve currency, nor to replicate China's offshore RMB model. Rather, policymakers are focused on creating the conditions for a more internationally usable currency — one that is easier to trade, fund, settle and hold across time zones. The roadmap combines the development of offshore settlement and funding infrastructure with a gradual easing of selected capital-account restrictions, allowing international use of the Won to expand while maintaining a measured and risk-managed approach to liberalization.

More fundamentally, Korea's push to internationalize the Won reflects a broader question about how the country captures the benefits of its industrial success. Our work argued that re-industrialization, the AI infrastructure cycle and supply-chain diversification are likely to strengthen Korea's external balances and generate larger pools of national savings. Yet generating wealth and retaining wealth are not the same thing. A significant share of the savings generated by Korea's industrial success continues to be recycled abroad through portfolio investment and overseas asset accumulation. **Strong external balances therefore do not automatically translate into deeper domestic capital markets, stronger asset valuations or a more internationally important currency.**

Figure 12: The reforms started well before July 2026



Source : Deutsche Bank Research

In many respects, Won internationalization can be viewed as the financial counterpart to Korea's industrialization. Industrialization generates exports, profits, savings and external surpluses; internationalization helps deepen capital markets, broaden participation and increase the likelihood that a greater share of the resulting trade, investment and funding activity is intermediated through Korean financial markets. **The objective is therefore not simply a more international currency, but a financial system that more closely reflects Korea's growing role in the global economy.** The result is not a wholesale opening of the capital account, but a gradual and carefully sequenced effort that combines greater offshore usability of the Won with the selective liberalization of domestic financial markets, while preserving financial stability and policy flexibility.

Korea's model – A phased approach to internationalization

A common mistake is to analyze Korea's internationalization strategy primarily through the lens of either China or Singapore. In reality, Korea is pursuing a distinct path that differs from both models.

China's approach relied heavily on the creation of a parallel offshore ecosystem that allowed the renminbi to internationalize while maintaining extensive control over domestic financial markets. Singapore represents the opposite approach, combining deep global integration with virtually unrestricted capital mobility. Korea's strategy sits somewhere between these two models. Policymakers are seeking to expand the usability of the Won while preserving financial stability and policy flexibility.

The first phase of reform focused on improving market accessibility. Measures such as the Registered Foreign Institution framework, omnibus accounts, extended FX trading hours and broader market-access reforms were designed to reduce operational barriers facing global investors and improve access to Korean financial assets. These reforms laid the foundations for greater foreign participation in Korean bond and equity markets.

The next phase goes further by focusing on the usability of the currency itself. Recent reforms are designed to make the Won easier to hold, transfer, fund and settle internationally. Rather than concentrating solely on attracting investors into Korean assets, policymakers are now seeking to expand the range of activities that can be conducted in Won across investment, funding and settlement activities.

Importantly, liberalization is being implemented gradually. Korea is not pursuing a wholesale opening of the capital account. Instead, reforms are being sequenced carefully alongside monitoring systems, liquidity facilities and macroprudential safeguards. The objective is to reduce frictions and improve accessibility without compromising financial stability.

The result is best understood as a phased transition from market-access reform towards broader currency internationalization. Earlier reforms focused on making Korean financial assets easier for global investors to access. The next phase is aimed at making the Won itself easier to use across investment, funding and settlement activities.

Figure 13: Korea is pursuing a distinct model of currency internationalization

Korea is pursuing a distinct model of currency internationalisation				
	Singapore	**China**	**India**	**Korea**
Primary objective	Global financial centre	Global reserve currency	Expand INR use in trade and finance	Increase KRW investability and global usage
Internationalisation model	Full openness	Offshore-onshore framework (CNH/CNY)	Trade-led internationalisation	Phased internationalisation led by capital-market integration
Key policy tools	Open capital account, global financial intermediation	Offshore RMB markets, clearing banks, Connect programmes	INR trade settlement, bilateral arrangements	FX market liberalisation, benchmark inclusion, settlement infrastructure
Treatment of offshore markets	Integrated	Separate offshore ecosystem	Limited	Greater offshore usability through infrastructure linked to the domestic market
End-state vision	Fully open financial centre	Widely used international currency	Broader regional and trade usage	Globally investable and increasingly usable currency
Key challenge	Small domestic market	Capital controls	Limited global demand	Balancing openness and financial stability
Sequencing	Openness first	Trade settlement → Offshore ecosystem → Investment integration	Trade settlement → Gradual financial liberalisation	Market access → Broader currency usage

Source : Deutsche Bank Research

How Korea is building a more international Won?

The first pillar is market accessibility. Korea has already moved to 24-hour dollar-Won spot trading, allowing investors to trade and hedge Won exposure across Asian, European and North American trading sessions. Earlier reforms such as the Registered Foreign Institution (RFI) framework, omnibus accounts and settlement-system upgrades were designed to reduce many of the operational frictions that historically limited foreign participation in Korean financial markets. These measures laid the foundations for greater foreign ownership of Korean bonds, equities and other financial assets.

The second pillar is offshore usability. The proposed framework allows registered Offshore Won Settlement Institutions to facilitate Won transfers, funding and settlement between non-residents without requiring every transaction to pass through traditional domestic account structures. A new BoK offshore settlement network is intended to support 24-hour settlement and improve the ability of investors, corporates and financial institutions to hold, transfer and deploy Won outside Korean business hours. Authorities are also seeking to encourage greater use of deliverable KRW markets through offshore settlement infrastructure and measures that support deliverable rather than non-deliverable instruments over time. This reflects one of the central features of the roadmap: expanding the ability of non-residents to hold, transfer, fund and settle Won offshore, even as onshore liberalisation remains gradual and carefully sequenced.

The third pillar is gradual liberalization. Rather than removing all restrictions at once, policymakers are selectively easing reporting requirements, simplifying account structures and gradually shifting certain transactions from prior approval to ex-post reporting. Importantly, liberalization is occurring within a controlled framework: offshore Won transactions initially operate through registered institutions, while market monitoring, liquidity facilities and prudential safeguards are expanded in parallel.

Figure 14: The building blocks of KRW internationalization

Pillar	What has changed	Why it matters
Market accessibility	24-hour USD/KRW trading; RFI framework; omnibus accounts; settlement upgrades	Allows foreign investors to access, trade and hedge Korean assets more easily across global time zones
Capital market integration	WGBI inclusion, MSCI market-access reforms, Euroclear/ICSD connectivity, expanded collateral and repo infrastructure	Reduces operational barriers for global investors and integrates Korean assets more closely with global portfolios
Offshore won usability	Offshore Won Settlement Institutions and offshore settlement network	Allows non-residents to hold, transfer, fund and settle won outside Korea more efficiently
Regulatory liberalisation	Many inter-foreigner won capital transactions move toward lighter reporting and ex-post supervision	Reduces frictions for investors, corporates and treasury centres while maintaining oversight
Digital money infrastructure	Stablecoin framework, CBDC initiatives, tokenised government-bond pilots	Establishes future rails for cross-border payments and digital won usage

Source : Deutsche Bank Research

Taken together, these reforms represent an evolution from market-access reform towards broader currency internationalization. Earlier initiatives such as the RFI framework, omnibus accounts, extended trading hours and benchmark-related reforms focused primarily on reducing barriers for foreign investors. The new roadmap builds on that foundation by expanding offshore settlement infrastructure, easing selected capital-account restrictions and increasing the range of activities that can be conducted in Won. The objective is therefore not only to make Korean assets easier to access, but also to make the Won itself easier to hold, transfer, fund and settle internationally.

Market Implication: A new funding, investment and settlement currency for Asia?

For the currency, success should not be measured by whether the Won becomes a major reserve currency. **A more realistic benchmark is whether the Won gradually plays a larger role in economic activities linked to Korea's own industrial and trading footprint.** Progress would likely be visible through greater use of Won settlement in trade, broader participation by foreign investors in Korean financial markets, and increasing use of Won-denominated funding and hedging instruments. The reforms create the infrastructure necessary for such a transition, but market adoption will ultimately determine the outcome.

Figure 15: Measuring progress towards a more international Won

Success Metric	Korea	Japan	Australia	Why it matters
Foreign ownership of local-currency government bonds	28.7%	13.7%	52.6%	Higher foreign participation and broader investor base
Foreign ownership of domestic equities	38.5%	11.9%	30.9%	Increased representation in global portfolios
Institutional ownership of equities	20.0%	34.0%	60.0%	More stable portfolio flows
Inclusion in Global DM benchmark	Not in MSCI DM	Yes	Yes	Measures potential structural demand from its financial assets
Home-currency settlement share in external trade	3.0%	33% (exports only)	8.8%	Gradual increase in trade invoicing and settlement in won
Foreign participation in repo / funding markets	2.1%	N/A	60.0%	Deeper offshore funding and collateral markets
Currency share of global FX turnover	0.9%	8.5%	3.1%	Greater turnover and broader participation

Source : Deutsche Bank Research

The most immediate market impact may be a gradual migration from NDFs toward deliverable KRW markets. Improved access and offshore settlement infrastructure should support greater use of deliverable KRW instruments over time, although NDFs are likely to remain an important part of the ecosystem. The goal is not to eliminate NDFs, but to create more attractive deliverable alternatives, deepen liquidity and strengthen the link between offshore activity and Korean financial markets.

The implications may extend beyond the currency itself. A more internationally accessible financial system could support deeper capital markets, stronger liquidity and a broader investor base for Korean assets. Over time, this may help narrow valuation discounts that persist despite Korea's strong industrial position, improving the linkage between the country's economic performance and financial-market performance. In this sense, internationalization should be viewed not merely as an FX-market reform, but as part of a broader effort to align Korea's financial influence more closely with its growing economic and industrial importance.

Ultimately, Korea's post-war success was built on industrialization. Re-industrialization, AI investment and supply-chain diversification suggest that story is far from over. The next decade may be defined by a different question: whether Korea can convert industrial power into financial power. The success of internationalization will therefore be judged not by reserve-currency status, but by whether Korea narrows the gap between its economic footprint and its financial footprint. If industrialization was the first stage of Korea's development story, internationalization may prove to be the second.

Appendix 1

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